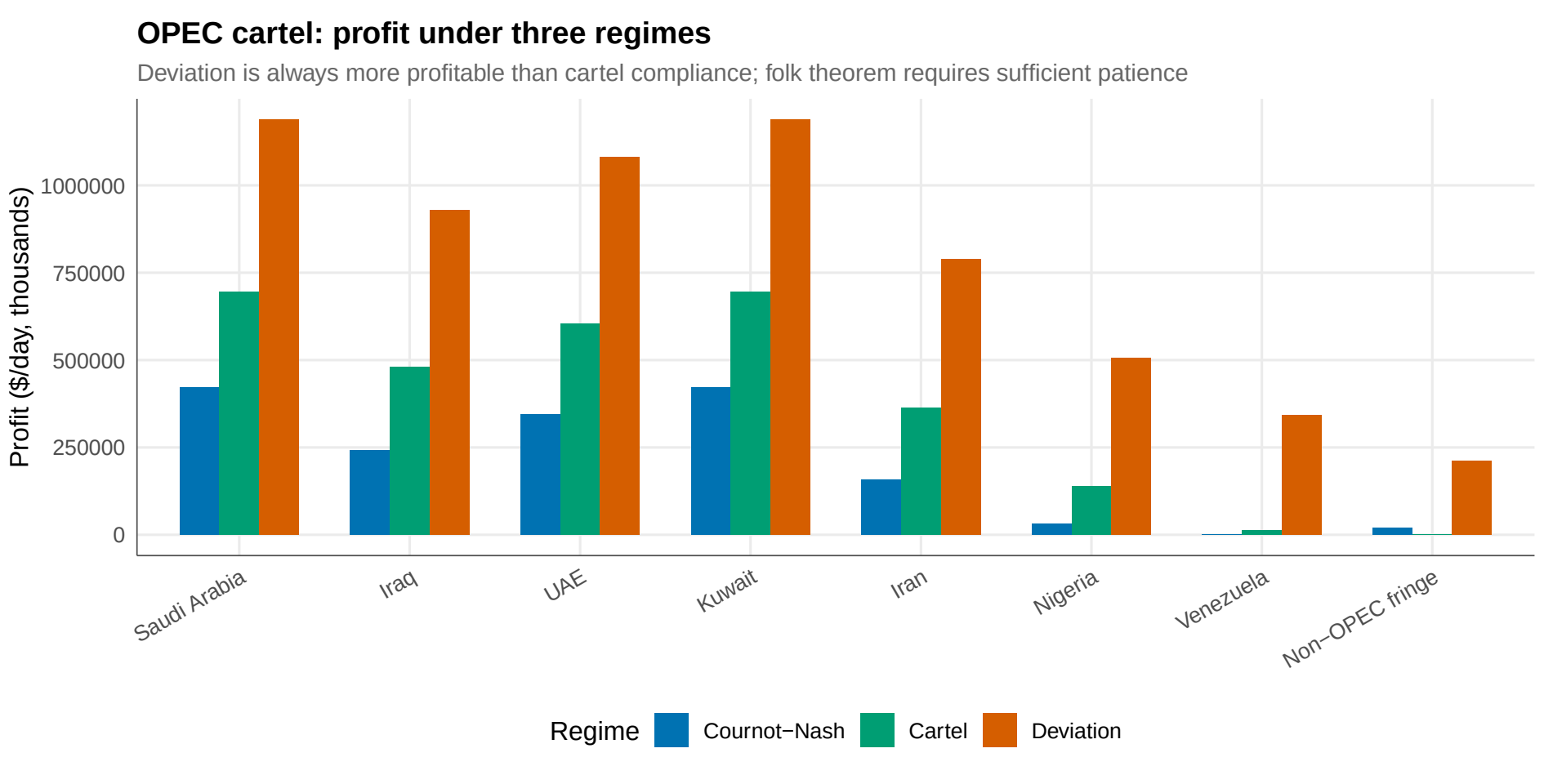
OPEC cartel: profit under three regimes
Deviation is always more profitable than cartel compliance; folk theorem requires sufficient patience
Profit ($/day, thousands)
1000000
750000
500000
250000
0
Saudi Arabia
Iraq
UAE
Kuwait
Iran
Nigeria
Venezuela
Non−OPEC fringe
Regime
Cournot−Nash
Cartel
Deviation